

SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

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Seat No.

Institute: (0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT,
PUNE

Programme: (020341) MASTER OF BUSINESS ADMINISTRATION

Batch: 2023-25,2024-26

Semester: I

Course: Organizational Behaviour

Course Code: 0203410108

Date: 13/03/2025

Maximum Marks: 40

Day: Thursday

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:

- 1) All questions are compulsory.
- 2) Attempt all the parts of the question together.

Case Study: (20 Marks)

Generous to a Fault?

In May 2006, Malden Mills signed a large contract resulting in the sale of \$10 million worth of one of its most important products. Polartec synthetic fleece to a company that was using it in jackets worn by U.S. soldiers in Afghanistan and northern Iraq. Ordinarily, this would be just another deal in the textile business, but an incident occurring a decade earlier makes it appear to a much more – a sign of resurrection for an embattled national hero.

Tragically, in 1996, the company's facility in Lawrence Massachusetts, burned to the ground. Like most textile firms in the United States, Malden Mills had suffered through hard times for years, so many observers expected aging owner Aaron Feuerstein to pocket the \$300 million insurance settlement, walk away from the business and retire. But he did not. Instead, he kept all of his employees on the payroll while he sought to gain enough funds, both from the insurance companies and new investors, to continue operations. This almost unheard-of generosity won him public acclaim.

In fact, Feuerstein was featured on the television program Sixty Minutes, where he explained his philosophy of management and the obligations he felt to employees who had worked in his company—founded by his father, Henry, 90 years earlier. As Feuerstein described it, he felt that his employees were “like his family” because, after all, they gave many years of their lives to the company. How, after all this commitment on their part, could he turn his back on them and walk away? He could not; he was more willing to risk his own financial ruin by struggling to keep the company afloat than to sacrifice the welfare of the people who worked so diligently in his factory.

For a while, stimulated by new products and a renewed sense of commitment from grateful employees, Malden Mills prospered. Soon, however, as cheaper textiles from overseas flooded the U.S. market, the company struggled once again to stay afloat. Late in 2001, after another dismal year, lenders forced the company into Chapter 11 bankruptcy. This time, the company was \$180,000,000 in debt, partly because of Mr. Feuerstein's generosity to employees and partly because of losses from operations. Again, almost everyone expected Mr. Feuerstein, who then was 77 years old, to give up. But once more, he surprised the world: Instead of surrendering, he hired a consultant skilled at rescuing sinking companies and redoubled his efforts to save Malden Mills. This time, he faced the daunting task of raising \$92 million to prevent creditors from seizing the company and, in all probability, selling off its assets.

In the face of these enormous difficulties, Feuerstein stood his ground, and his employees pitches in to help. They agreed to work for lower wages and they gave up overtime pay. This was a big concession, which when taken along with Feuerstein's efforts helped to save the company. Every day he got on the phone, seeking raise the needed money. As he put it: "I've got vultures on every side ... but I'm getting close I can't imagine that I won't succeed with this last \$10 millions Everyday I think tomorrow will be the day I get it done." And succeed he did. In October 2003, Malden Mills emerged from bankruptcy, and continues operations today – still providing jobs for many of the same employees Feuerstein vowed to protect.

In recognition of his humanitarian efforts, in 2005 Aaron Feuerstein received the Pace Award from the Ethics Resource Center. In an era in which corporate greed dominated the headlines, this top executive represented a refreshing departure from selfishness. Indeed, Feuerstein's generosity was the ultimate in selflessness. Today, Malden Mills continues to Build business in many ways, in fact it is one of the leaders in the manufacturing of so-called "healthy textiles," fabrics that are not treated with chemicals.

Q.1 Analyze the case in light of Big Five personality traits and identify which elements of core-self-evaluation appear to characterize Mr. Feuerstein?

(CO3) (10 Marks)

Q.2 Did Feuerstein's Ethical Idealism Cause Malden Mills' Business Failure? Analyze the situation where he faced challenges?

(CO2) (10 Marks)

Q.3 Write short notes on the following: (5 marks*4= 20 marks)

- a. Job characteristics theory
- b. Leader- member exchange theory
- c. Distributive negotiation
- d. Kurt Lewin's model of change

(CO 3)

(CO 1)

(CO 1)

(CO 1)